

- Home
- My Tickets VIT
- Modules
- Announcements
- People
- Quizzes
- Ask A Faculty/Mentor
- Discussions
- VIT MBA HomePage
- SEM 2: Marketing Management
- SEM 2: Operations Management
- SEM 2: Financial Management
- SEM 2: Strategic Management
- SEM 2: Human Resource Management
- Live Sessions

Required Quiz 11.1: Week 11 Quiz

Due Jun 7 at 11:59pm

Points 20

Questions 20

Available May 25 at 12am - Jun 7 at 11:59pm

Time Limit 30 Minutes

Instructions

Learning Outcome Addressed

- Combine the knowledge of financial management and investment, financing, dividend policy, working capital decisions and financial planning and forecasting to ensure the optimum valuation of a firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, June 07, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submission deadline.

Note: This is a graded quiz and counts towards course completion.

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	6 minutes	19 out of 20

🕒 Correct answers will be available on Jun 8 at 12am.

Score for this quiz: 19 out of 20

Submitted Jun 6 at 8:46am

This attempt took 6 minutes.

Question 1

1 / 1 pts

Taxation affects:

- ☐ Sales
- ☒ Dividend policy
- ☐ Assets
- ☐ Liabilities

That's correct!

Question 2

1 / 1 pts

Dividend is paid to:

- ☐ Suppliers
- ☐ Employees
- ☒ Shareholders
- ☐ Creditors

That's correct!

Question 3

1 / 1 pts

Dividend policy affects:

- ☐ Only profit
- ☒ Shareholders wealth

Shareholder wealth

☐ Only sales

☐ Only cost

That's correct!

Question 4 1 / 1 pts

Bird-in-hand theory suggests:

☐ No dividend

☐ Investors prefer future gains

☐ No preference

☒ Investors prefer current dividends

That's correct!

Question 5 1 / 1 pts

Gordon's model is also known as:

☐ Cost theory

☐ Irrelevance theory

☐ Risk theory

☒ Bird-in-hand theory

That's correct!

Question 6 1 / 1 pts

According to MM theory, firm value depends on:

☒ Investment decisions

☐ Dividend policy

☐ Sales

☐ Expenses

That's correct!

Question 7 1 / 1 pts

Walter's model considers relationship between:

☐ Cost and revenue

☐ Assets and liabilities

☒ r and k

☐ Sales and profit

That's correct!

Incorrect **Question 8** 0 / 1 pts

Dividend decision is linked with:

- ☐ Financing decision
- ☐ Investment decision
- ☒ Both A & B
- ☐ Cost decision

That's incorrect! Revisit the videos for this week.

Question 9

1 / 1 pts

Walter's model assumes:

- ☐ No investment
- ☒ Internal financing only
- ☐ External financing only
- ☐ No retained earnings

That's correct!

Question 10

1 / 1 pts

Retention ratio =

- ☐ Dividend / Sales
- ☒ 1 - Dividend payout ratio
- ☐ Profit / Assets
- ☐ Cost / Revenue

That's correct!

Question 11

1 / 1 pts

Legal constraints affect:

- ☒ Dividend payment
- ☐ Sales
- ☐ Assets
- ☐ Profit only

That's correct!

Question 12

1 / 1 pts

Modigliani-Miller (MM) theory suggests:

- ☐ Dividend increases value
- ☐ Dividend decreases value
- ☐ Dividend is relevant
- ☒ Dividend is irrelevant

That's correct!

Question 13

1 / 1 pts

If $r > k$ in Walter's model, firm should:

- ☒ Retain earnings
- ☐ Pay no dividend
- ☐ Ignore profits
- ☐ Pay high dividend

That's correct!

Question 14

1 / 1 pts

Growth opportunities lead to:

- ☐ Loss
- ☒ Lower dividends
- ☐ No effect
- ☐ Higher dividends

That's correct!

Question 15

1 / 1 pts

Liquidity position influences:

- ☐ Sales
- ☐ Cost
- ☒ Dividend payment ability
- ☐ Investment

That's correct!

Question 16

1 / 1 pts

Gordon model assumes:

- ☐ Negative growth
- ☒ Constant growth
- ☐ Variable growth
- ☐ No growth

That's correct!

Question 17

1 / 1 pts

Stable dividend policy means:

- ☐ Variable dividend
- ☐ No dividend
- ☒ Fixed dividend over time
- ☐ Loss

That's correct!

Question 18

1 / 1 pts

Question 18

Stability of earnings leads to:

- ☒ Stable dividend policy
- ☐ No dividend
- ☐ Loss
- ☐ Higher cost

That's correct!

Question 19

1 / 1 pts

High dividend payout means:

- ☒ Low retained earnings
- ☐ High retained earnings
- ☐ Loss
- ☐ No effect

That's correct!

Question 20

1 / 1 pts

If $r < k$, firm should:

- ☐ Ignore dividend
- ☐ Increase cost
- ☒ Pay dividend
- ☐ Retain earnings

That's correct!

Quiz Score: 19 out of 20

◀ Previous

Next ▶